

quarter ending June 2023. It is at 1.63 per cent for credit cards, and 0.84 per cent for personal loans for the quarter ended June 2023, up 0.17 and 0.4 per cent, respectively, compared to the same quarter in the previous year.

“Our cost of funds (CoF) have been stable at 7.1 per cent versus the previous quarter. We benefited from the increased long-term borrowings that took place in the previous two quarters, limiting our re-pricing risk this quarter,”

receivables and personal loans. Per its notification, the risk weight on credit card receivables has been increased by 25 per cent, considering that commercial banks currently attract a risk weight of 125 per cent, while NBFCs attract a risk weight of 100 per cent.

The increase in risk weightage by the RBI means that credit card companies now have to set aside more capital. Earlier, for every ₹100 in credit card receivables, the risk weight was 125 per cent—

and we may see them rationalised further,” says Shetty. “However, it is important to remember that the risk weights on credit cards were at this rate much before Covid-19, and once the high interest cycle begins to reset in a couple of quarters, a number of those rewards would come back,” he adds.

But are more devaluations in the offing in the short term? “Yes,” says Colleckto’s Singh, adding that with the increase in the CoF, card providers will have to make the rewards more premium. Effectively, the thresholds to avail perks might increase. For example, the monthly/quarterly spend thresholds for certain benefits, like lounge visits, reward points conversion multiple, etc., would be higher. “The point is, if card issuers have to maintain their margins and now that their CoF is also going up, they’ll have to cut back on something else. Now, that can be reward points, lounge access, etc.,” he adds.

Hence it is important for cardholders to stay informed about such devaluations. When a card is devalued, users should check if the updated features are suited to their spending habits. If not, they can look at other options that provide them better value. “While taking other cards into consideration, it is important to ensure that the chosen card not only aligns with your spending habits, but also offers value-back that is higher than the devalued card,” says Rohit Chhibbar, Head of Credit Cards Business at digital loan and credit cards platform Paisabazaar.

All said and done, one thing is certain; the long and winding queues at airport lounge gates are surely going to shorten in the near future. **BT**

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GURJOT SINGH
CO-FOUNDER, COLLEKTO

said Abhijit Chakravorty, MD & CEO of SBI Card, in an investor call. “However, with the short-term rates again experiencing volatility, we expect CoF for the next few quarters to be marginally higher. The yield is marginally lower in the quarter owing to a larger share of short-term interest-bearing term receivables in the overall IBNEA (interest bearing net earning assets),” he added.

REGULATORY DIKTAT

The rise in unsecured lending and the slight increase in defaults have led the country’s central bank to take corrective action by increasing the risk weight for credit card

that is ₹125. After the increase to 150 per cent, the risk weight becomes 150 per cent of ₹100—that is ₹150. Hence, assuming a capital adequacy ratio (CAR) of 9 per cent, the bank would now need to set aside ₹13.50, at 9 per cent of ₹150 compared with ₹11.25, at 9 per cent of ₹125. Consequently, the increase in capital requirement for lenders and card providers is (₹13.50-11.25), which comes to ₹2.25 for every ₹100 in credit card receivables, or 20 per cent.

“This means that banks and credit card providers have to put aside more funds, reducing the amount they can lend. This would have an impact on the rewards,